COMMODITY VIEWS

From Energy to Metals: Why to Still Diversify Into Commodities

- As energy flows start to normalize through the Strait of Hormuz, we take stock of how commodities have performed year to date, highlighting that the energy supply shock triggered by the Iran conflict is only the most recent of several examples seen over the past year of why strategic investment portfolios can benefit from diversifying into commodities.
- Investing in different commodities can help diversify risks inherent to equity/bond portfolios under different circumstances, including (1) commodity supply shocks, like the Hormuz disruption, which might lead to higher inflation and lower economic growth, (2) structural demand support for commodities that face challenges to growing supply, and (3) a flight to real assets when fiscal sustainability or other financial risks arise. We see many of the drivers behind such circumstances, which are supportive of commodity returns, remaining relevant going forward.
- In particular, we think that the Iran conflict ultimately reinforces many of the themes supporting power and metals demand, more so than oil and gas. From a potential increased reliance on EVs, to further investment into renewable power generation, both of which require further grid investment, to potentially larger defense spending, and growing competition to win the AI race, these themes are highly supportive of power, copper, lithium and aluminum demand.
- Combined with the fact that power infrastructure can face bottlenecks and that metals refining remains highly geographically concentrated, this strong structural support to power and metals demand leaves these markets vulnerable to tightening shocks. As a result, while oil and gas have traditionally had a bigger impact on inflation, and its supply concentration and associated geopolitical risks remain, sharp price increases might start to also appear more often across power and industrial and precious metals markets going forward.

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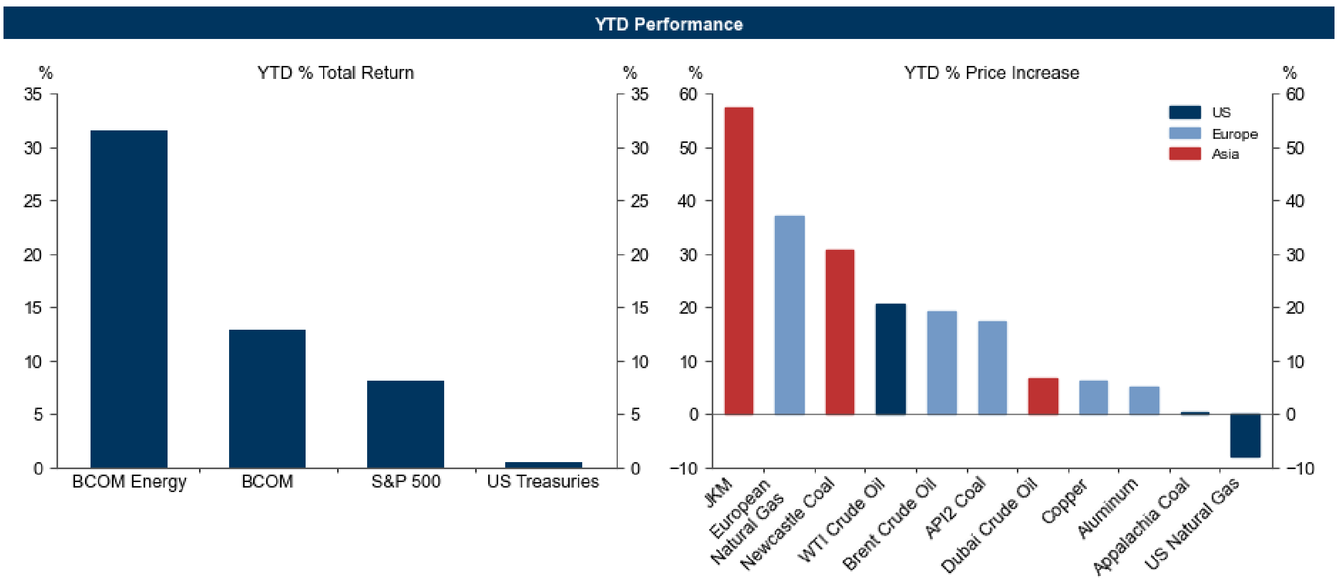
Commodities Can Help Diversify Equities/Bonds' Risks Under a Broad Range of Circumstances

1. A large energy shock, the second in only five years. While the 2022 energy crisis impacted mostly natural gas supply, lifting liquefied natural gas (LNG) prices across Europe and Asia, this year's 16-week Strait of Hormuz disruption significantly reduced supply of both oil and gas, causing a broad increase in energy prices, while threatening the global economic outlook. Even as crude oil prices now recede following the US-Iran deal to re-open the Strait of Hormuz, broad commodity price gains year to date, combined with a strong oil roll yield[1] during the conflict, have supported year-to-date commodity returns well above those of equity and bonds (Exhibit 1), though with higher volatility.

Exhibit 1: The Strait of Hormuz disruption contributed to commodity returns outperforming other assets year to date, especially as a strong roll yield for oil combined with higher prices



Source: Bloomberg, Goldman Sachs Global Investment Research

Importantly, the upside to energy prices during the conflict was limited by what proved to be a more flexible global market than what we originally expected. In particular, the sharp drop in China liquefied natural gas (LNG) imports in Mar/Apr, the first two months of the conflict, and in oil imports to this day, helped limit global market tightness. Still, by May, three months into the conflict, crude oil and oil product (like gasoline, diesel and jet fuel) prices had rallied 43% and 63%, respectively, vs pre-war levels, while European gas and Asia LNG prices rallied 50% and 70%. And while crude oil prices have come off sharply over the past couple of weeks, the same cannot be said of gasoline or diesel, where we expect demand to rebound faster than supply, keeping balances tight for longer, and prices slower to come down.

Overall, assuming that the re-opening process continues, the Hormuz shock will likely have a limited scarring effect on global economic activity and hence on energy demand. Our economists expect global GDP growth at 2.4% this year, 0.4pp down from 2025.

[1] The roll yield is the gain or loss generated by the investor "rolling" their postition from an expiring futures contract into a new contract with a later expiration date. The roll yield is positive when the expiring contract is more expensive than the futures contract they are rolling into (i.e., when the forward curve is in backwardation).

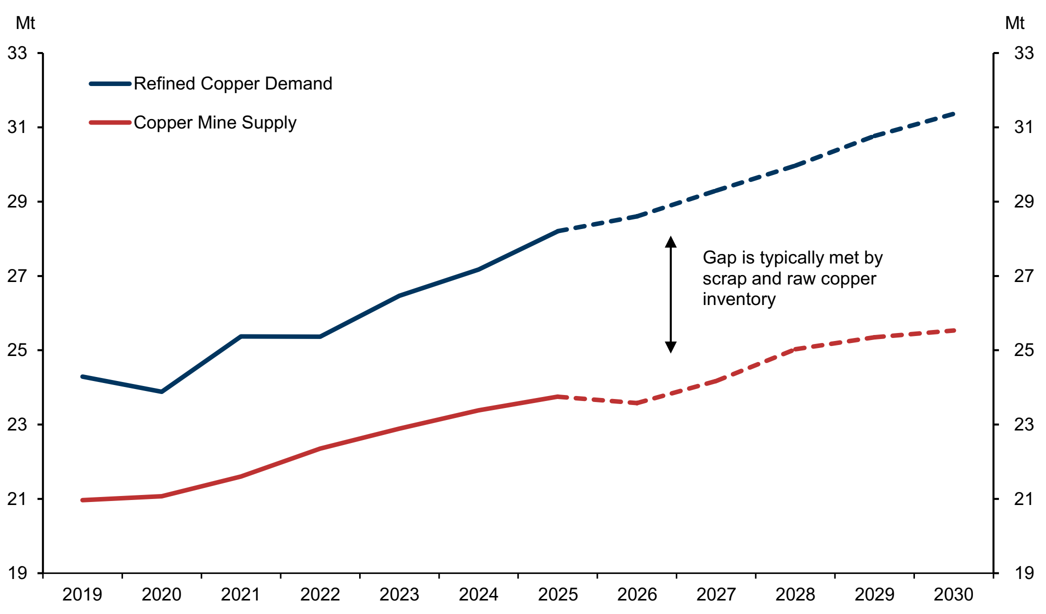
Had the Iran conflict lasted longer, its negative impact on global growth might have been significantly larger at -2pp from our pre-war expectations, underscoring the potential value of diversifying into commodities in strategic investment portfolios.

2. Long-term structural support for copper prices, with a near-term policy boost. The pairing of strong structural support to copper demand with a long-cycle supply side, where it can take an extended period of time for supply to respond to price incentives, sets the stage for a well supported price environment for copper.

On the demand side, growth has been increasingly tied to strategic sectors, with grid and power infrastructure likely driving over 60% of copper demand growth by 2030 (vs. 2025), alongside direct boosts from defense, electric vehicles, renewable generation capacity, and data centers. Importantly, we see investment in aging Western power grids as a national security priority, due to its critical role in AI and energy security. This shifts copper demand from being mainly cyclical to increasingly strategic, making it less sensitive to economic slowdowns and high prices than traditional demand sources such as construction or white goods.

At the same time, copper supply might struggle to grow fast enough (Exhibit 2). Multiple recent mine incidents highlight the growing structural challenges in copper mining as copper mines get deeper, grades get lower and ore gets harder, requiring greater investment. This adds to operating costs and sustaining capex, and limits the ability of supply to respond quickly. As a result, copper prices have to rise to solve this gap by incentivizing higher scrap supply and potential demand substitution into alternative materials such as aluminum.

Exhibit 2: We expect copper demand growth to continue to outpace that of mined supply

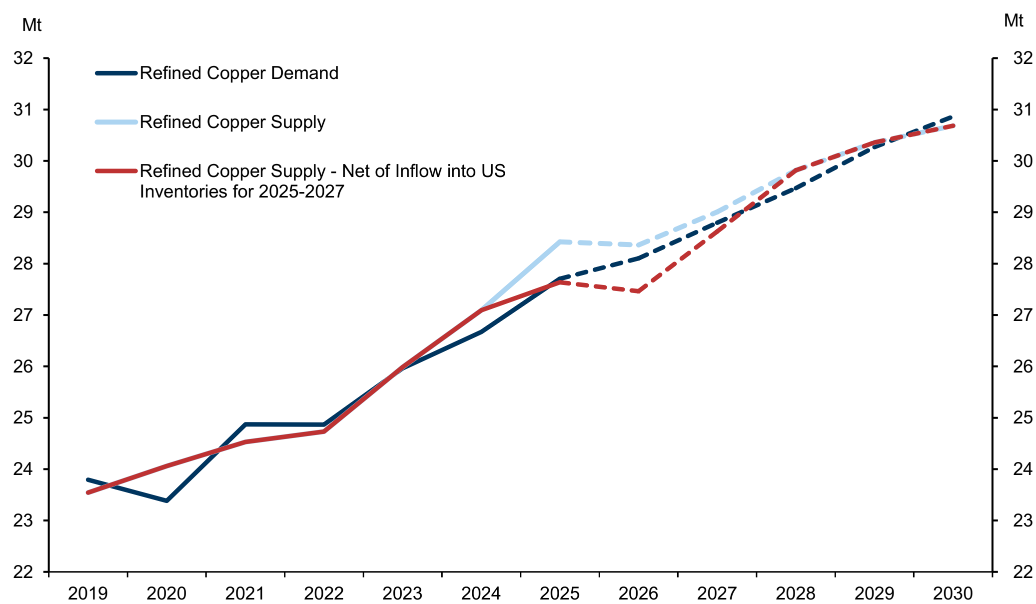


Source: Wood Mackenzie, CRU, S&P Global Market Intelligence, SMM, ICSG, Goldman Sachs Global Investment Research

While the copper balance tightening we expect is gradual in nature, shifts in policy have brought some of that tightness forward. Specifically, since the US imposed import tariffs on steel and aluminum last year, copper imports into the US picked up significantly in anticipation of a potential US copper import tariff being implemented. While there remains no US tariffs on refined[2] copper imports, copper tonnes have continued to head to the US, causing the ex-US copper balance to tighten significantly (Exhibit 3), and prices to briefly reach an all-time high of over $14,000/t in May, before moderating to the low-to-mid $13,000s.

These tighter copper balances led us to recently raise our end-2026/average 2027 LME copper forecasts to $13,735/$13,800. Our longer-term view remains that prices will need to rise further by the next decade to balance the market. By 2035, we think a price of $15,000/t will be needed to keep aging mines in operation, lift scrap collection rates, deliver additional substitution and support the development of new mines.

Exhibit 3: Policy-risk-driven copper flows into the US drove the ex-US market into a deficit this year



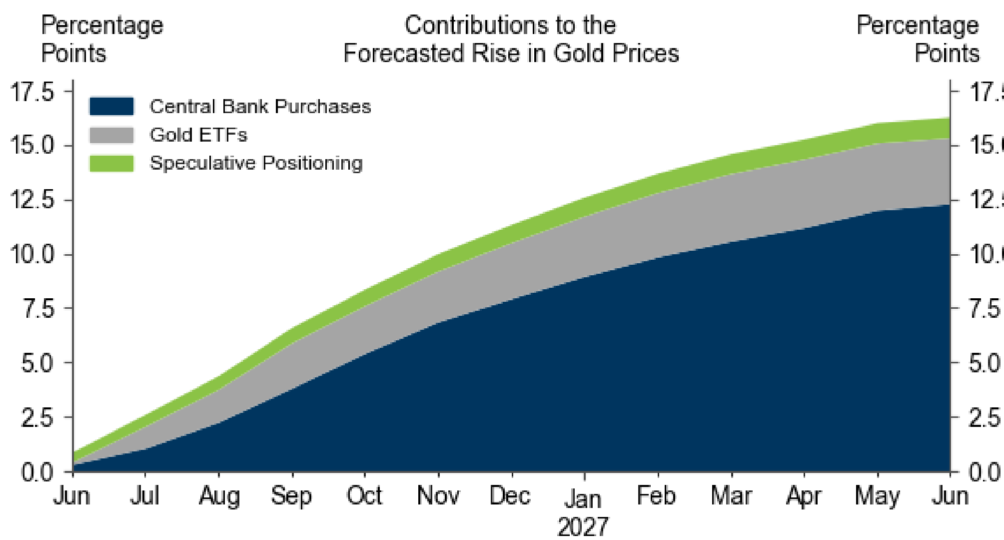
Source: Wood Mackenzie, CRU, SMM, ICSG, S&P Global Market Intelligence, Goldman Sachs Global Investment Research

3. Gold is not done. Despite gold's strong rally since 2022 (up 123%), we continue to see further upside, driven by both structural and eventually cyclical factors. Structurally, EM central bank diversification—following the 2022 freezing of Russia's reserves—remains the anchor of our $4,900/toz end 2026 forecast (Exhibit 4). While the pace of central bank gold purchases has moderated to ~50 tonnes/month on a 3-month (seasonally adjusted) and 12-month moving average basis, we view the ongoing diversification trend as structural. A recent World Gold Council survey supports our view: a record 45% of the 76 central banks surveyed between February and May expect to increase their own gold reserves over the next 12 months, while ~90% expect global reserves to rise with the remainder expecting broadly stable holdings (Exhibit 5). We therefore assume continued central bank accumulation of 50t/month in 2026 and 40t/month in 2027.

[2] The US implemented a 50% Section 232 tariff on semi-finished copper products and copper-intensive derivative products effective August 1, 2025. Refined copper, ores, concentrates and scrap were excluded.

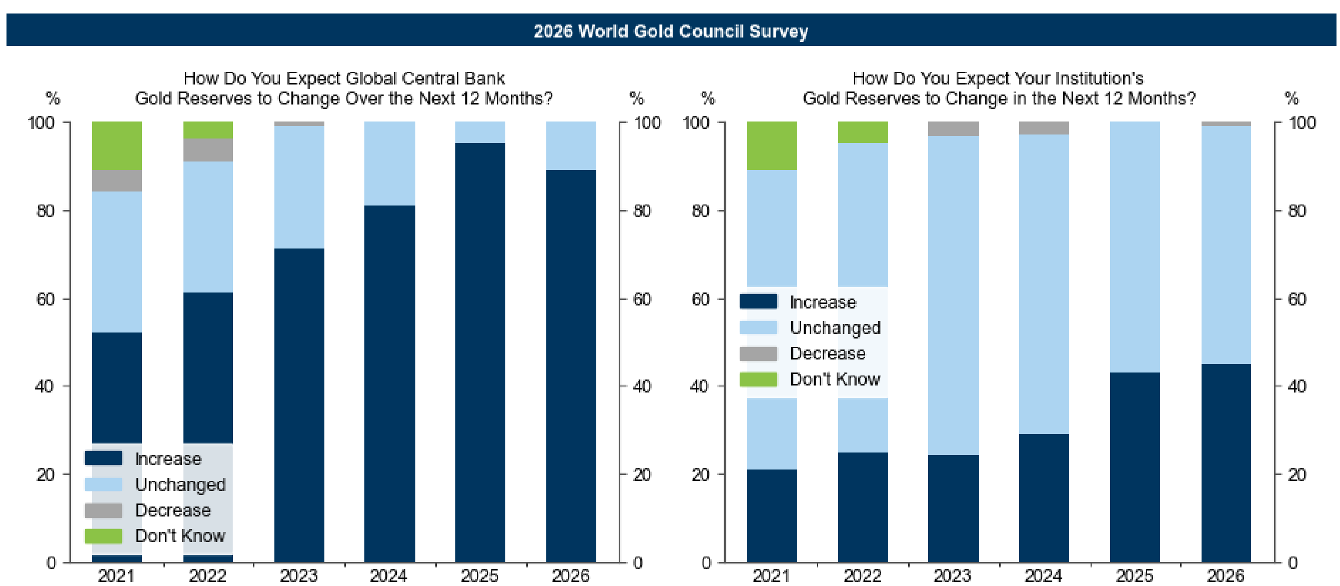
Cyclically, however, gold faces near term headwinds from the potential hit to demand for macro policy hedges (as a hawkish Fed helps fade the debasement theme) and as markets are pricing in Fed hikes this year amid inflation concerns, weighing on rate-sensitive ETF demand. We expect these headwinds to at least partly reverse over time. While we assume stable macro-policy hedges demand for gold, we expect ETF positioning to gradually rise, consistent with our economists' view of a delayed but ongoing easing cycle in 2027H2. Over the medium term, risks to our gold price forecast remain skewed to the upside on net. Gold's share in private portfolios remains small, and the Iran episode — together with broader geopolitical developments (e.g., Greenland, Venezuela) — may eventually accelerate private diversification into gold, including by weighing on perceptions of Western fiscal sustainability.

Exhibit 4: Continued central bank diversification remains the main driver of our constructive gold price outlook



Source: Goldman Sachs Global Investment Research

Exhibit 5: The recent World Gold Council central bank survey suggests continued gold demand



Source: World Gold Council, Goldman Sachs Global Investment Research

To Each (Inflation Shock) Their Own (Inflation Hedge)

While the Hormuz shock has illustrated how commodities exposure can work as a hedge against inflation, it also demonstrated with the sharp sell off in gold in the period that not all commodities work equally well as a hedge under any inflation shock. In practice, inflation typically arises through three distinct regimes – late cycle inflation, supply disruptions, and institutional credibility risk – and each calls for a different hedge.

Regime #1: Late Cycle – Hedge With Cyclical Commodities

When the business cycle runs hot, equities initially benefit from strong growth. But as the economy begins to outpace its productive capacity – what economists call a positive output gap – inflation pressures build and real bond returns weaken. Over time, rising input costs compress margins and equity growth starts to soften. It is at this point – when bond prices weaken and equity returns begin to lose momentum – that commodities tend to provide diversification through stronger returns. Commodity performance typically strengthens late in the cycle because a positive output gap implies demand exceeds supply. In commodity markets, this imbalance shows up as sustained inventory drawdowns. Late in the cycle, inventories have been drawing for long enough to approach depletion, pushing prices higher – especially for cyclical commodities like oil and industrial metals.

Regime #2: Supply Disruption – Hedge With a Broad Commodity Basket (Ex. Precious Metals)

When a supply disruption hits – as just exemplified during the Iran conflict – inflation rises while growth weakens, weighing on bond and equity prices simultaneously. Commodities, as the disrupted input, are then among the few assets to deliver positive real returns. Because the source and timing of disruptions are inherently unpredictable, a broad commodity basket (ex. precious metals) offers the most robust protection.

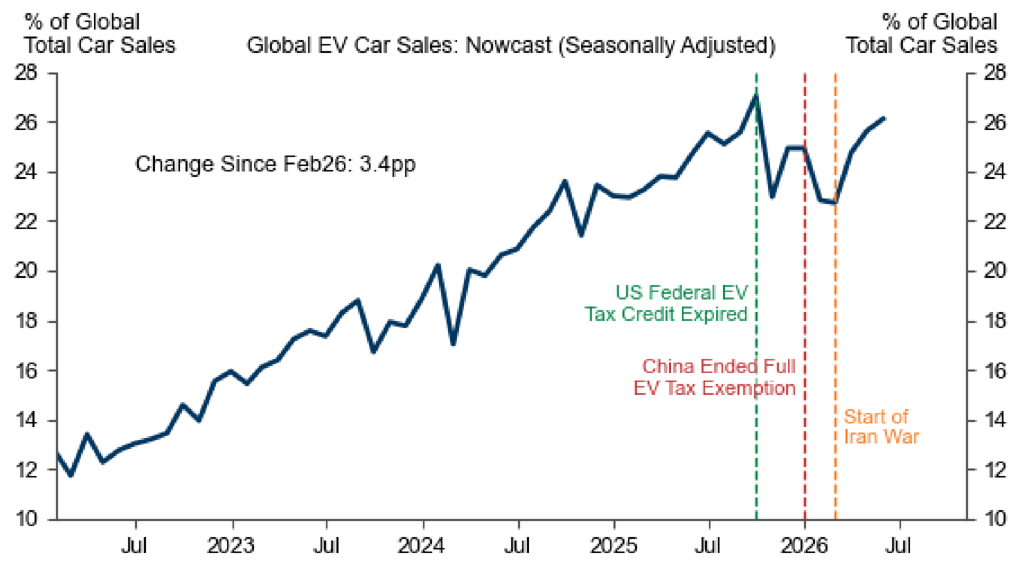
Regime #3: Institutional Credibility Risk – Hedge With Gold

In the first two inflation regimes – late cycle inflation and supply disruptions – gold is not an effective hedge. If anything, gold often sells off initially: higher inflation can lead markets to price in rate hikes, raising the opportunity cost of holding a non yielding asset, while equity drawdowns can trigger margin call liquidations in gold, whose liquidity makes it a ready source of cash. Gold hedges a narrow inflation regime: when inflation expectations rise due to concerns around institutional credibility or macro policy, causing bonds and equities to sell off together in real terms. Gold then stands apart as the key neutral asset whose value does not rely on any government backing.

The Iran Conflict Appears on Its Way to a Resolution. What Next?

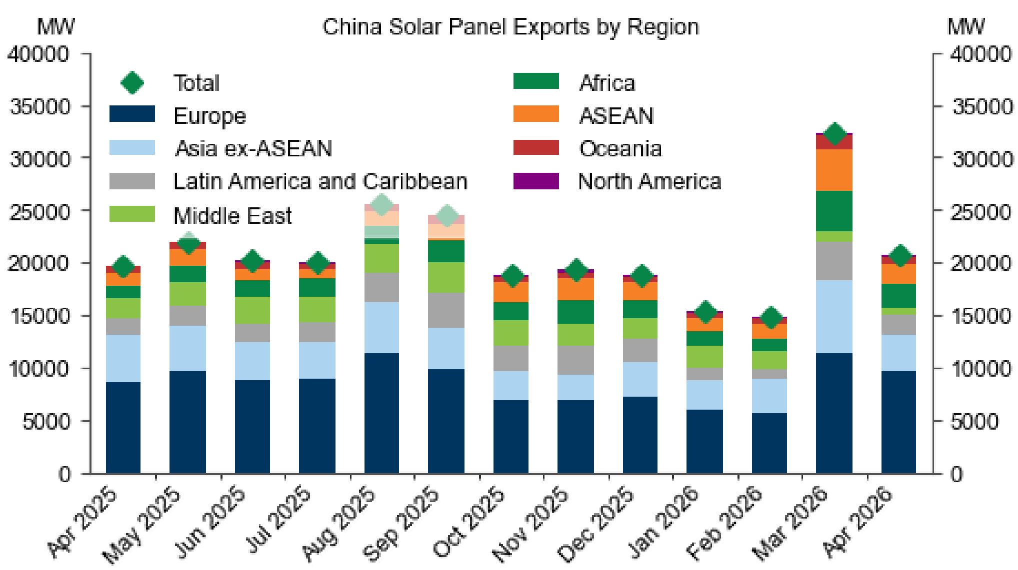
While oil demand will rebound in the aftermath of the Iran conflict, including what we expect will be an over 1 mb/d push for the rebuilding of strategic petroleum reserves, we think that the Iran conflict ultimately reinforces many of the themes supporting power and metals demand in particular. From a potential increased reliance on EVs, to further investment into renewable power generation, both of which require further grid investment, to potentially larger defense spending, and growing competition to win the AI race, these themes are highly supportive of power, copper, lithium and aluminum demand, while potentially weighing on long-term demand growth of oil and natural gas (Exhibit 6 and Exhibit 7).

Exhibit 6: Global EV sales have sharply accelerated during the Iran conflict...



Source: Government Data, IEA, Goldman Sachs Global Investment Research

Exhibit 7: ...as have China solar panel exports

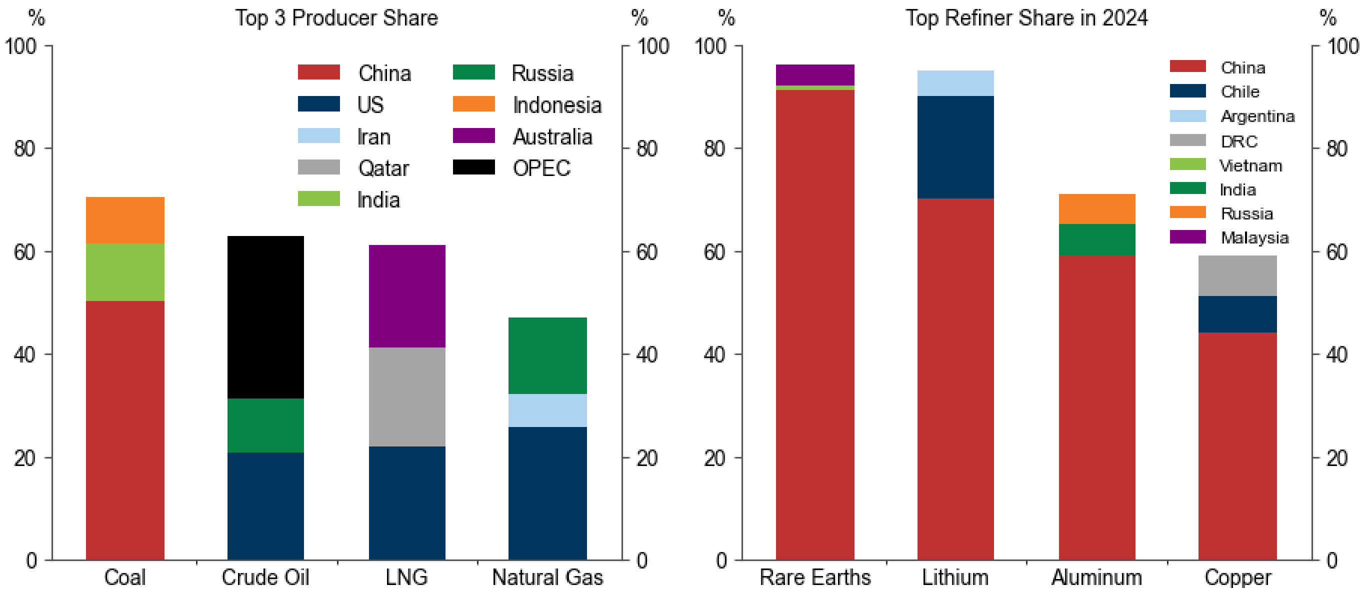


Source: Ember, Goldman Sachs Global Investment Research

Combined with the fact that power infrastructure can face bottlenecks, as has been the case in the US Mid-Atlantic power market, and that metals refining remains highly geographically concentrated (Exhibit 8), this strong structural support to power and metals demand leaves these markets vulnerable to tightening shocks.

As a result, while oil and gas have traditionally had a bigger impact on inflation, and their supply concentration and associated geopolitical risks remain, sharp price increases might start to also appear more often across power and industrial and precious metals markets going forward. In particular, our economists have flagged that higher industrial metals prices and China's export controls on rare earths and related products were among the main drivers of the recent acceleration in the US' core producer price index, while expecting that higher US electricity prices will continue to boost consumer electricity inflation.

Exhibit 8: Commodity supply is currently heavily concentrated, with a large share of supply in geopolitical or trade-dispute hot spots



Source: EIA, IEA, WoodMac, CRU, Goldman Sachs Global Investment Research

Appendix

Exhibit 9: The recent Hormuz energy supply disruption is the latest example of why it pays to diversify into commodities
Total returns

		Historical Performance				GS Forecast	
	Dollar Weight	2023	2024	2025	YTD	Balance of Year	2027
BCOM	**100**	**-8**	**5**	**16**	**15**	**3**	**1**
BCOM ex. Agriculture & Livestock	**63**	**-10**	**8**	**22**	**19**	**7**	**1**
S&P GSCI	**100**	**-4**	**9**	**7**	**26**	**7**	**1**
S&P GSCI ex. Agriculture & Livestock	**76**	**-3**	**11**	**11**	**37**	**10**	**0**
Energy	52	-5	10	-5	55	10	-2
Industrial Metals	14	-4	3	29	7	4	-2
Precious Metals	10	12	26	69	-8	17	12
Agriculture	14	-8	0	-8	0	-3	2
Livestock	9	0	20	27	5	3	1

We highlight the commodity indices ex Agriculture & Livestock because we currently don't forecast agriculture and livestock prices, and instead use forwards.

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Samantha Dart, Daan Struyven, Lina Thomas, Yulia Zhestkova Grigsby, Hongcen Wei, Lavinia Forcellese, Aurelia Waltham, Filippo Cuscito, Laura Cyr and Alexandra Paulus, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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